If you were to look at a chart showing share market performance over just a few weeks or months, it would look jagged and messy, lots of sharp ups and downs that can feel scary. But the more you zoom out, the smoother that line becomes. Over time, the market has historically trended upward, despite plenty of short-term turbulence along the way.

The best action, more often than not, is no action. Trying to time the market, jumping in and out, usually leads to worse outcomes. People tend to sell when things feel bad (locking in losses) and buy when things feel good (often too late). It’s a losing strategy.

Instead, staying invested through the downturns gives your portfolio time to recover and grow. Stock markets have recovered from every crash, correction and recession we’ve seen so far. What they need is time.

This is where mindset really matters. When you focus on your long-term goals, not the daily noise, you’ll be far less likely to make emotional decisions. And emotional decisions (those reactions) are usually the ones that derail wealth-building.

The trick? Zoom out. Stay calm. Stick to the plan.

Let’s not forget about tax

Tax is something to be aware of, but it shouldn’t be something that holds you back. Paying tax means your money is working for you and even after tax, investing remains one of the most powerful ways to build wealth over time.

If you’re not sure how tax works where you live, you can:

- Check your government tax office website
- Speak with an accountant or tax adviser
- See if your investing platform provides a tax guide or resources

A little knowledge goes a long way, and you can always learn as you go.